

businesses that offer things as straightforward as a haircut or a taxi ride, or essential services such as health care or education, or repair businesses like auto mechanics and building maintenance firms. There are services that many of us use every day, including public transportation and telecommunications, or banking and insurance services. Then there are others, such as hotels and movie theaters, that we use less often and consider luxuries to be indulged in during our leisure time.

Working to serve

Today, more and more people work in the service sector, especially in the richer countries. This is partly because mechanization of the older agricultural and manufacturing industries has made them more efficient, so they use fewer workers to produce more goods. But it is also because our needs have changed now that we have more money and more leisure time.



CAPITAL GOODS

The goods we notice most are consumer goods, the things sold in stores. But there are also things such as machinery, buildings, and transportation, known as capital goods, that are produced for industries and used in the making of consumer goods and in services.



In the US an estimated 80% of the workforce is in the service sector, contributing around 80% of GDP.